

INVOICE DISCOUNTING: HIGH RISK, HIGH RETURN

- > Fintech players offer retail investors a platform to invest in invoice discounting
- > RBI recognises invoice discounting through its TReDS platform for institutional investors

FLDG FIRST LOSS DEFAULT GUARANTEE

	GRIP	ALTGRAAF	TAP
MIN. INVESTMENT	₹1 lakh	₹1 lakh	₹10,000
TENURE	120-180 days	30-90 Days	30-90 Days
RETURN (%)	11-12	11-13	13-14
EXIT	Tradeable as listed on the stock exchange and held in demat account	No early exit	No early exit
CHARGES	No charges to investors	No charges to investors	Not available
EXPOSURE TO	A pool of invoices against multiple companies	Single invoice or multiple invoices against a single company	Single invoice or multiple invoices against a single company
ADDITIONAL SECURITY COVER	Up to 20% FLDG in terms of over collateralisation and cash collateralisation from the partner NBFC	None	None
REGULATED	Yes	No	No

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transparency, understanding of risk and difficulty in buying and selling.

REGULATORY CLARITY

Since these assets are relatively new in India, both regulated and unregulated players operate in the space. Hence, it is important for investors to understand some key regulations before going in for such products.

The first is Sebi's SDI guidelines, which permit the creation of fixed-income instruments based on specific underlying cash flows from asset leasing, loans, invoices, and more. SDI units can be issued to investors with a minimum ticket size of ₹1 lakh, must be listed on stock exchanges, and carry a credit rating.

The second set of guidelines pertain to Online Bond Platform Provider (OBPP), which allow platforms to facilitate investments in certain fixed-income products after obtaining a licence from Sebi, explains Aggarwal of Grip. Start-



"If the buyer (of products from the small firm) defaults on the payment, the investor (who bought the discounted invoice) can approach the NCLT for recovery"

ANSHUL GUPTA, CO-FOUNDER AND CIO, WINT WEALTH

ups like Grip and Wint Wealth have OBPP licences.

"As per Sebi regulations on OBPP, there is a permissible list of securities [for] the platform. First is listed debt securities. Then [there are] products regulated by other entities such as RBI, PFRDA or Irdai, followed by unregulated products," says Vijay Kuppia, CEO of InCred Money. An example of products regulated by other entities is fixed deposits, regulated by RBI. Kuppia explains that Sebi is clear about not encouraging non-regulated products. "Sebi has talked about a separate platform with a different brand name for unregulated products. Those who are not following this are in the process of transitioning, getting a new licence and figuring it out," he adds. Saurav Ghosh, Co-founder of Jiraaf, says, "Jiraaf has applied for the OBPP licence from Sebi to become a registered online bond platform." Jiraaf and altGraaf are